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ASML Holding NV (ASML.AS)

Strong Demand Drives Guidance Raise; Focus Shifts to 2028 Capacity Expansion

CITI'S TAKE

ASML continues to see strong demand, with 3Q26 results broadly in-line on revenue but ahead on margins and EPS, while 4Q26 guidance was modestly ahead of consensus, driven by stronger Installed Base revenue and gross margins. ASML also raised its 2026 outlook, with gross profit guidance implying c.3% upside to consensus at the mid-point. More importantly, demand visibility continues to improve. For 2028, ASML retained plans to increase capacity by 30% in 2027 and is now investigating an increase beyond 30% in 2028. While investors may focus on whether 2027 EUV capacity can move closer to 90 tools, we believe the more important takeaway is customer interest in securing capacity for 2029 and even 2030. The debate is increasingly shifting toward the scale of 2028 and beyond expansion and the potential margin upside from value-based pricing, mix and High-NA adoption. Retain Buy.

Buy	
Price (13 Oct 26 16:30)	€1,509.60
Target price	€2,200.00
Expected share price return	45.7%
Expected dividend yield	0.4%
Expected total return	46.2%
Market Cap	€585,948M
	US$656,203M

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3Q26 results in-line to better — Revenue of €11.66bn was broadly in-line with consensus (VA consensus €11.71bn, Citi €11.79bn) and the company's guidance of €11-12bn. Installed base revenues came in ahead driven by strong demand for productivity upgrades. This led to a beat in gross margins (57.5% vs Consensus 56%, Citi 56%), which was above the gross margin guidance (55-57%). This was coupled with slightly lower SG&A and R&D costs resulting in the operating margin to come in at 44.4%, which is ahead of consensus at 42.2%. EPS at €12.9 beat consensus of €10.87 (Citi €10.96). See Figure 1.

4Q26 guidance ahead — ASML guided to 4Q revenue of €14.2 – 15.2bn, which at the mid-point is 3% ahead of consensus of €14.28bn (Citi €14.86bn) mainly driven by a higher installed base revenue guidance of €3.7bn. The company also guided for gross margins of c57%, which is above consensus of 56.7% (Citi 56.1%) and at the mid-point, gross profits are 3% above/below consensus. On operating costs, the company guided to R&D costs of c.€1.2bn and SG&A costs of c.€.4bn, which implies an operating margin of ~46% (Consensus 44.4%, Citi 45.1%).

ASML Holding NV (EUR)

Year to 31 Dec	2024A	2025A	2026E	2027E	2028E
Sales (€M)	28,262.9	32,667.3	44,741.9	58,849.1	73,374.6
Net Income (€M)	7,571.6	9,609.4	15,617.4	22,737.6	29,814.5
Diluted EPS (€)	19.24	24.72	40.42	59.10	78.05
Diluted EPS (Old) (€)	19.24	24.72	40.42	59.10	78.05
PE (x)	78.5	61.1	37.3	25.5	19.3
EV/EBITDA (x)	58.4	46.7	29.7	20.3	15.0
DPS (€)	6.40	7.50	8.63	9.92	11.41
Net Div Yield (%)	0.4	0.5	0.6	0.7	0.8

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

2026 guidance raised; Upside to capacity expansion in 2028 — For 2026, ASML now guides to revenue of €44-45bn, which at the mid-point is 1% ahead of consensus of €43.97bn (Citi €44.74bn) and gross margins of 56% (Consensus 55.1%), which implies FY26 gross profits at the mid-point is 3% ahead of consensus. Beyond 2026, ASML retained plans for a 30% capacity increase in 2027, which on EUV implies 85 tools (Consensus of 87), but for 2028 is now investigating ways to increase capacity beyond the prior guidance for a 30% increase. The company also mentioned that they are seeing customers express an interest in placing orders for 2029 and even 2030. ASML also flagged that it has had conversations on higher value-based pricing which will become visible through 2027 and in 2028 and beyond.

Implications — The better-than-expected 3Q26 margins, stronger 4Q26 guidance and raised FY26 outlook should drive modest consensus estimate upgrades in the near term. More importantly, comments around 2028 capacity expansion, customer demand extending into 2029-30 and value-based pricing are positive for long-term demand and margin upside. Retain Buy.

Figure 1. ASML Q3 results versus consensus

ASML	3Q26A				4Q26E			FY2026E		
EUR M, Dec FY	CITI	Actual	CONS	% A / CONS	Citi	Guidance	CONS	Citi	Guidance	CONS
Sales										
System Sales (EUR m)	8,928	8,373	8,908	-6%	12,508	11,000	11,184	34,280		32,879
DUV & Metrology System Sales (EUR m)	4,403	4,270	4,871	-12%	6,388		6,464	15,749		17,205
EUV System Sales (EUR m)	4,525	4,103	4,037	2%	6,120		4,720	18,531		15,675
Installed base management sales (EUR m)	2,865	3,289	2,906	13%	2,348	3,700	3,005	10,462		11,070
Total net sales	**11,793**	**11,662**	**11,715**	0%	**14,856**	**14,700**	**14,284**	**44,742**	**44,500**	**43,972**
Gross profit	**6,595**	**6,700**	**6,555**	2%	**8,335**	**8,379**	**8,098**	**24,611**	**24,920**	**24,215**
- Gross margin	*55.9%*	*57.5%*	*56.0%*		*56.1%*	*57.0%*	*56.7%*	*55.0%*	*56.0%*	*55.1%*
Selling, general & administrative	-394	-353	-389	-9%	-397	-400	-409	-1,396		-1396
Research & development	-1,213	-1,174	-1226	-4%	-1,237	-1,200	-1,339	-4,911		-5053
Total operating expenses	**-1,606**	**-1,527**	-1612	-5%	**-1,634**	**-1,600**	**-1,751**	**-6,307**		**-6456**
Operating income	**4,989**	**5,173**	**4,943**	5%	**6,701**	**6,779**	**6,347**	**18,304**		**17,759**
- Operating margin	*42.3%*	*44.4%*	*42.2%*		*45.1%*	*46.1%*	*44.4%*	*40.9%*		*40.4%*
EPS - diluted	10.96	12.93	10.87	19%	14.73		13.96	40.42		39.22

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Source: Citi Research, Visible Alpha

ASML Holding NV

Valuation

We value ASML using a 28x 2028 or 1x PEG based on FY28 earnings, in line with other strong growth stocks in our coverage, which leads to our target price of EUR 2,200. We continue to have conviction in ASML's long-term growth outlook, as evident in our forecast of a 30% CAGR in EPS through 2030E. Given our strong multi-year growth forecast for ASML, we look further out than 2026 to capture the growth potential. We think this approach better captures its long-term exposure to artificial intelligence, semiconductor capex, and other structural growth areas.

Risks

We highlight the following risk factors for ASML. If the impact of these risk factors is more or less negative than we anticipate, the share price could deviate significantly from our target price:

Technological: Challenges in development of EUV technology could result in delays and lower margins.

Competition: A gain/loss in lithography and/or process control market share would result in upside/downside risk to our estimates.

Customer Risk: ASML derives a significant share of its revenues from a few large customers, and an increase/cut in their capex could result in risk to our estimates.

Macroeconomic: A weak macroeconomic environment and/or escalation in geopolitical tensions resulting in subdued semiconductor growth/increase in cadence could cause downside to our estimates.

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Appendix A-1

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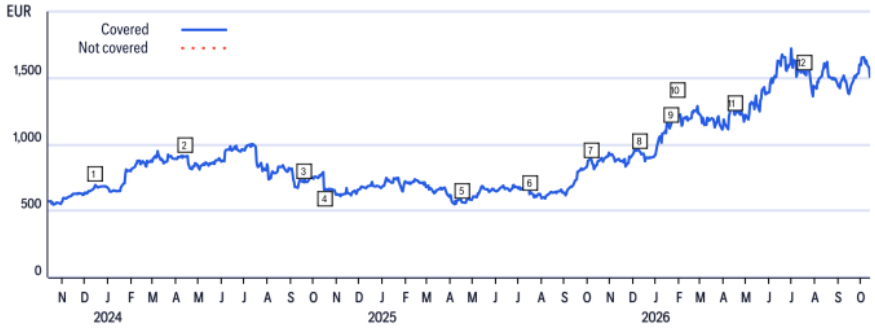
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ASML Holding NV (ASML.AS)

Ratings and Target Price History
Fundamental Research

Analyst: Pavan Daswani, CFA



	Date	Rating	Target Price	Closing Price
1	15-Dec-23 00:00:00	1	*900.00	694.70
2	12-Apr-24 00:00:00	1	*1,250.00	907.50
3	18-Sep-24 00:00:00	1	*1,150.00	715.00
4	17-Oct-24 01:07:32	1	*930.00	634.20
5	17-Apr-25 11:23:20	1	*860.00	564.20
6	16-Jul-25 18:41:06	1	*825.00	625.80
7	07-Oct-25 00:06:11	1	*1,050.00	874.80
8	10-Dec-25 00:00:00	1	*1,200.00	946.00
9	20-Jan-26 00:00:00	1	*1,400.00	1,140.00
10	29-Jan-26 00:00:00	1	*1,600.00	1,192.00
11	16-Apr-26 00:00:00	1	*1,675.00	1,222.60
12	17-Jul-26 00:00:00	1	*2,200.00	1,537.00

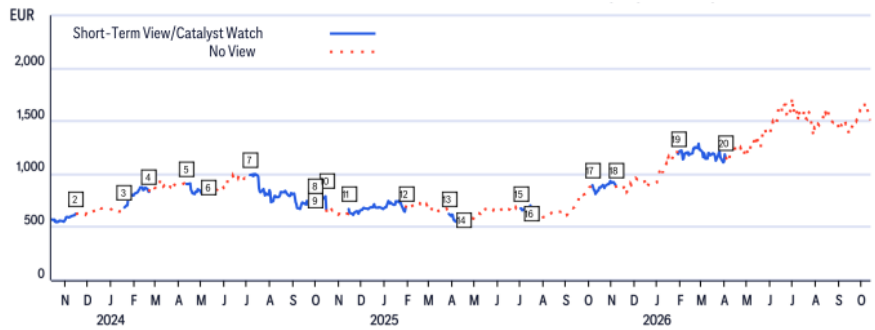
*Indicates Change

Rating/target price changes above reflect Eastern Time

ASML Holding NV (ASML.AS)

Short-Term View/Catalyst Watch Research

Analyst: Pavan Daswani, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	15-Oct-23 21:48:46	Add CW	Upside	30 Days	573.60
2	15-Nov-23 05:34:57	Remove CW	Upside	30 Days	627.80
3	21-Jan-24 19:00:00	Add CW	Upside	30 Days	686.30
4	21-Feb-24 05:35:09	Remove CW	Upside	30 Days	834.00
5	11-Apr-24 20:00:00	Add CW	Upside	30 Days	909.10
6	10-May-24 12:08:52	Remove CW	Upside	30 Days	864.50
7	05-Jul-24 14:09:25	Add CW	Upside	90 Days	993.00
8	30-Sep-24 23:33:40	Remove CW	Upside	90 Days	745.60
9	01-Oct-24 20:00:00	Add CW	Upside	90 Days	741.80
10	15-Oct-24 07:27:39	Remove CW	Upside	90 Days	668.10
11	14-Nov-24 20:44:40	Add STV	Upside	90 Days	671.60
12	29-Jan-25 20:23:53	Remove STV	Upside	90 Days	682.50
13	30-Mar-25 21:17:09	Add CW	Upside	90 Days	625.60
14	17-Apr-25 07:23:20	Remove CW	Upside	90 Days	564.20
15	02-Jul-25 20:00:00	Add STV	Upside	90 Days	677.60
16	16-Jul-25 14:41:06	Remove STV	Upside	90 Days	625.80
17	06-Oct-25 20:06:11	Add STV	Upside	30 Days	897.30
18	06-Nov-25 05:35:31	Remove STV	Upside	30 Days	895.30
19	28-Jan-26 19:00:00	Add STV	Upside	90 Days	1,194.40
20	06-Apr-26 20:00:00	Remove STV	Upside	90 Days	1,161.00

CW - Catalyst Watch , STV - Short-Term View

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